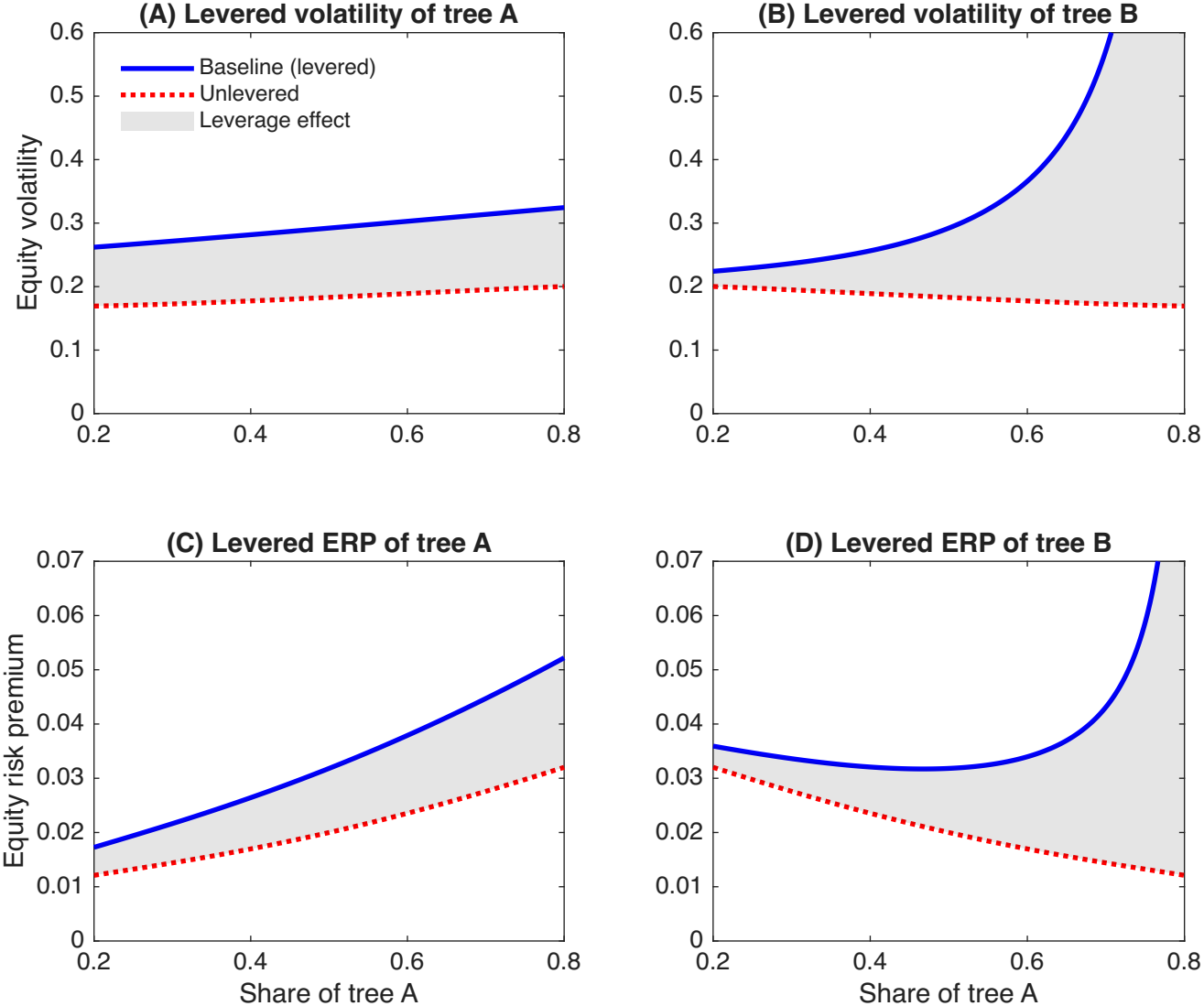

(A) Levered volatility of tree A
(B) Levered volatility of tree B
(C) Levered ERP of tree A
(D) Levered ERP of tree B
Baseline (levered)
Unlevered
Leverage effect
Equity volatility
Equity risk premium
Share of tree A
Share of tree A
0
0.1
0.2
0.3
0.4
0.5
0.6
0.01
0.02
0.03
0.04
0.05
0.06
0.07
0.2
0.4
0.6
0.8